Activation

Week 2 Lecture 1 · B2C to $10k MRR

Growth Manual · Autumn 2026

What we'll cover today

- **Activation event:** what it is and how to name yours
- **Time-to-value:** the clock that starts the moment someone signs up
- **Aha moment:** the framing, the failure modes, and the method
- **Activation rate:** how to compute it and what "good" looks like
- **Why activation is the highest-leverage metric at your stage right now**

Why activation beats acquisition right now

You are not an acquisition problem yet

Most early-stage B2C products have the same pattern:

- Traffic exists (maybe modest, maybe surprising)
- Signups happen
- Active paying users: almost none

The leak is not at the top. The leak is in the first 60 seconds.

Fixing activation costs $0 in ad spend.

The AAARRR funnel in week 2 focus

From last week: Acquisition → **Activation** → Retention → Revenue → Referral

Activation is the gate between "someone showed up" and "someone got value."

Until activation is healthy, every dollar you put into acquisition is
poured into a leaking bucket.

(Rachitsky & Timen, 2022: average activation rate across 500+ products is 34%)

Defining your activation event

An activation event is not a milestone you pick arbitrarily

A valid activation event must be:

1. **Observable:** you can query it from your database
2. **Causal for retention:** users who hit it retain at 2x+ vs users who don't
3. **Early enough to matter:** reachable in the first session

Correlation is not enough. A good activation metric is causal for retention, not just correlative. (Rachitsky, 2022)

How to find yours

Three-step method (Rachitsky, 2022):

1. **Brainstorm** candidate aha moments from usage data: first export, first share, first collaborative action, first result
2. **Regress** each candidate against 30-day retention to find the inflection point
3. **Experiment** to establish causality: if you nudge users toward that action, does retention go up?

Name your activation event right now

Fill in the blank:

> "A user has activated when they ________ within ________ of signing up."

Examples:

- Slack: invitation sent to 3+ teammates within 7 days
- Figma: first shared file opened by someone else within 14 days
- Airtable: first base with 3+ records created within 7 days

Your turn. One sentence. Verifiable in your database.

Time-to-value

Time-to-value is the clock your user is running against

Users do not wait. They have 30-90 seconds before they bounce or defer.

Time-to-value (TTV): the elapsed time between account creation and the moment the user first experiences the product's core benefit.

The shorter TTV is, the higher activation rate tends to be. Every step you add before value is delivered costs you a percentage of your cohort.

Two TTV strategies

Immediate value

Remove everything before the experience.

- Guest mode before signup
- Pre-populated demo data
- No email confirmation gate

Best for: tools, utilities, any product where the value is visible in 60s

Deferred value

Accept a longer TTV because trust is required.

- Health, finance, social
- The value requires real user data

The aha moment framing

Sean Ellis (2019): products where 40%+ of active users say they would be "very disappointed" if the product disappeared grow sustainably. Products below that threshold struggle.

The aha moment is the instant the user crosses into "very disappointed" territory for the first time.

Your job this week: identify that instant and measure what percentage of your new cohort reaches it.

Activation rate

Computing your activation rate

```
Activation rate =
  users who reached activation event within N days
  ----------------------------------------------------
  users who signed up in the same N-day window
```

N is typically 1, 7, or 30 days depending on your product's natural usage rhythm.

Start with D0 (same-day activation). That is your most actionable number.

What "good" looks like

From Rachitsky & Timen (2022), survey of 500+ products:

- **Median:** 25%
- **Average:** 34%
- **60th percentile ("good"):** ~40-45%
- **80th percentile ("great"):** 60%+

If you are below 25%, activation is your number-one problem.
If you are above 60%, shift attention to retention.

Do not compare to a global benchmark. Compare to your own number last week.

Take-aways

1. Activation is the highest-leverage metric before you have strong retention. Fix it before spending on acquisition.
2. Your activation event must be causal for retention, not merely correlative (Rachitsky, 2022).
3. Time-to-value is a clock your users are running against. Every step added before value costs a percentage of the cohort.
4. The Sean Ellis 40% threshold tells you whether you have a product worth activating users into (Ellis, 2019).
5. Measure activation rate on D0. Own that number before section.

> "Your activation milestone is the earliest point in your onboarding flow that, by showing your product's value, is predictive of long-term retention."

— Lenny Rachitsky & Yuriy Timen, Lenny's Newsletter (2022)

What's next

- **Section (this week):** Activation audit. Screen-share your onboarding with a partner, identify the biggest drop-off, ship one fix.
- **Reading:** Week 2 activation chapter
- **Lecture 2:** Onboarding teardown. Three real products dissected.
- **Milestone due Friday:** Activation rate measured, one experiment shipped